

SAFARICOM: Your Network Is Your Net Worth

We issue a **SELL** recommendation on Safaricom PLC with a target price of **KES 38.81** representing a downside of **7.60%** on the current price of **KES 42.00.** We believe that the market over-reacted to the news of the expansion into Ethiopia. However, the company's fundamentals remain strong. Our valuation is informed by ability of the company to weather the negative effects of the pandemic and the intended regional expansion to the untapped Ethiopian telco market.

- **M-pesa to continue driving Revenue:** At the onset of the pandemic, activity in the M-PESA platform was underpinned by increased customers participation in P2P, Lipa na M-PESA and M-PESA/Bank transactions. We expect M-PESA to be the key driver of revenue growth mainly due to the ongoing partnerships with financial services providers as well as e-commerce players**.** Voice and SMS ARPUs are expected to continue to decline as subscribers favor the use of alternative communication channels. Data revenue growth is likely to be supported by the investments in both 4G and 5G networks.

- **Ethiopian market is an exciting investment opportunity:** In May 2021, an international consortium led by Safaricom was awarded a license to operate telecommunications services in Ethiopia. Ethiopia's relatively low mobile penetration rate of 47% offers Safaricom an opportunity to grow its market share by acquiring new subscribers.

- There's limited room for Safaricom to increase its market share by lowering the price of its voice and data bundles. Device financing could help increase data penetration rate. Data ARPU growth may be driven by increasing 4G coverage remains low.
- There is a huge growth potential for mobile money as indicated by the impressive uptake of *Tele birr,* Ethio Telecom's mobile money platform. M-PESA's key differentiator is likely to be the security of the platform, the quality of service and a better user experience.
- We expect increased CAPEX commitment in the initial years of Ethiopian entry with a moderation closer to 2025.
- Key risks in Ethiopia are geo-political risk, competition, and regulatory risk.

27th October 2021

Recommendation: SELL

Target Price – KES 38.81

Current Price – KES 42.01

Potential Upside – 7.60%

52 Week Trading Range:
KES 30.00 – 45.25

EPS – 1.71

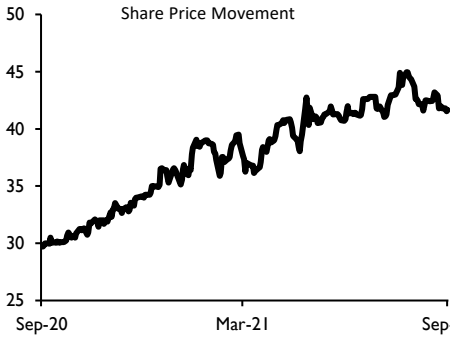
DPS – 0.92

P/E – 24.40

PB – 12.23

ROA – 30.90%

ROE – 48.90%



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KEY INVESTMENT DRIVERS

- **M-PESA growth:** M-PESA has been Safaricom's key driver of growth, a trend that's expected to continue mainly driven by new business streams. In FY22, we expect a spike in revenue following the re-introduction of fees for transactions below KES 1,000. Growth is also likely to be driven by an increase in the volume of transactions and Safaricom's penetration of more regional markets. M-PESA Global recently announced a milestone of **50.0 Mn** active users across various markets in the African region.

- **Entry into the Ethiopian market:** The low penetration rate in the Ethiopian market provides an opportunity for Safaricom to grow its voice and data business. There is also a huge potential in the provision of mobile money services. The benefit of the expansion, however, is unlikely to increase Safaricom's bottom line in the next few years.

- **Value Driven Partnerships:** In the Kenyan market, Safaricom is considered as a provider of quality services. This has enabled the telco to partner with the government and various private institutions to provide payment and other services. We expect these partnerships to continue to drive the company's revenue growth and increase the products available on the M-PESA platform. For example, a proposed smart meter partnership with KPLC could see Safaricom split the additional revenue generated from lower system losses which is projected at KES 71.7 Bn

- **Increased mobile data usage:** Safaricom is likely to benefit from an increase in both mobile data subscribers and ARPU. The provision of affordable smart phones is expected to increase the data penetration rate, the packages and services offered through 'BLAZE' are likely to make the network attractive to the youth, while the launch of 5G could lead to a spike in ARPU.

- **Increased fixed data usage:** Safaricom's investment in fiber has enabled it to become the market leader in the fixed data market. There is still room for growth as the uptake of the product increases.

KEY INVESTMENT RISKS

- **Regulatory risk:** Due to the huge role that Safaricom plays in the Kenyan economy, politicians and regulators regularly monitor the telco's operations. Recently, politicians have been pushing for price control in various sectors of the economy, including the push to split between mobile money and the rest of the services offered by Safaricom. Introduction of price controls (on voice, data, M-PESA charges or Fuliza) could negatively affect Safaricom's business.

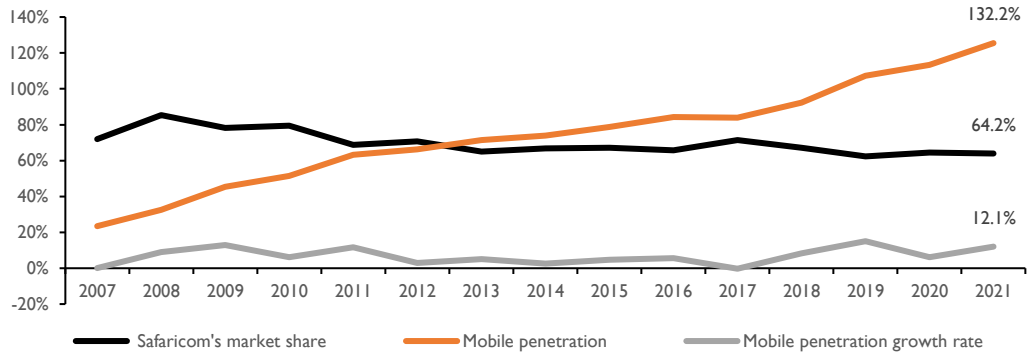
- **Political risk in Ethiopia:** The conflict in Ethiopia's Tigray region is a source of concern. We could see Safaricom delay expenditure on key infrastructure in the affected regions thereby slowing subscriber growth. Sanctions imposed on Ethiopia could also affect the follow of funds from Safaricom's partners. Additionally, the history of government sanctioned communication shutdown in Ethiopia might affect Safaricom.

- **Potential competition from alternative payment platforms:** Other payment platforms developed by players in the financial services sector could increase competition.

RECENT DEVELOPMENTS

- **Competition affects Safaricom's voice ARPU:** Recent publications by the Communication Authority of Kenya show that as of June 2021, Safaricom has maintained the highest market share of mobile subscriptions at **64.20%**. Over the past 10 years, Safaricom's market share has been declining mainly due to aggressive marketing by competitors who have also introduced competitive offerings. Over the years, we've seen Safaricom's voice ARPU decline from a high of KES 401.56 in FY15 to KES 257.72 in FY 21. This is a trend that we expect to continue as subscribers opt to purchase cheaper bundles or increase usage of over-the-top media services.

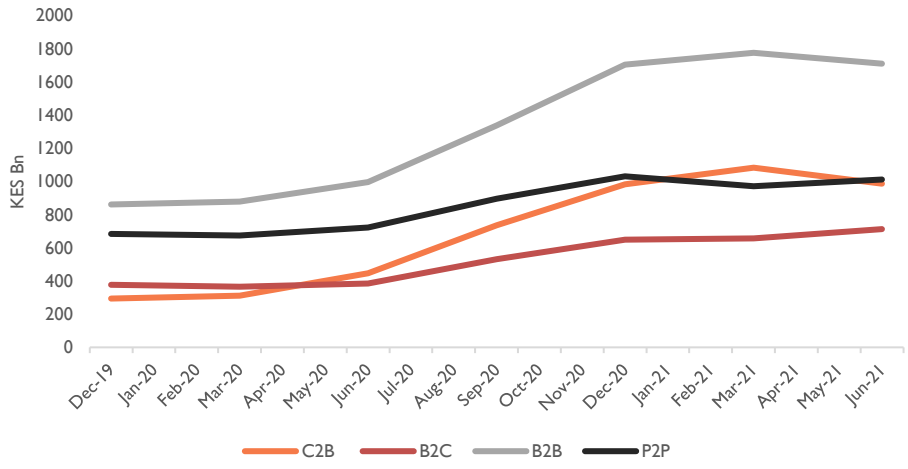
Graph1: Telco sector Market share



Source: CAK

- **Zero-rating of M-PESA charges increases M-PESA usage:** In 2020, the government introduced relief measures which included zero rating of M-PESA charges for amounts below KES 1000 and removal of transfer fees between bank and M-PESA wallets. This led to a 51% spike in the value of P2P transactions (from KES 0.68 trillion in 4Q19 to KES 1.03 trillion in 4Q20). The removal of charges encouraged Kenyans to use the mobile money platforms. A slight dip was recorded in 1Q21 after transactional charges were re-introduced but we expect volumes to remain above pre-COVID levels by growth may be lower.

Graph2: Value of M-Pesa Transactions



Source: CAK

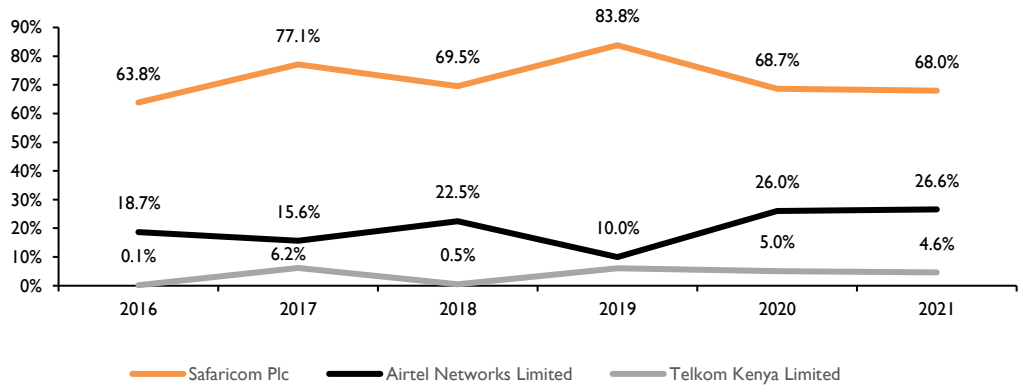
- **Limited growth potential for subscribers:** The June 2021 Telco sector publication by CAK indicated that the number of mobile SIM subscribers increased by **12.98%** y/y to **64.40Mn** from **57.00Mn** in 2020, taking the mobile penetration rate to **132.2%** from **119.9%** in a similar period. The high penetration rate is largely attributable to ownership of multiple sim cards, as customers seek to take advantage of tariff benefits by the various providers. Mobile penetration rate of higher than 100% is a potential downside for Safaricom and the sector, in general, as it provides little room for growth.

- **Introduction of Excise duty on mobile airtime:** In a bid to increase its revenue, the government raised the excise duty charged on mobile airtime, loans and mobile data from 15.0% to 20.0%, effective 1st July 2021. The duty was in addition to the 16.0% VAT charged meaning that for every KES 100 of airtime the government charges KES 36 in taxes. As expected, the mobile operators passed the tax to the subscribers. We expect this to have a minimal impact on voice and mobile data usage.

- **Mobile data growth buoys revenue:** In FY21, mobile data revenue was up by 11.54% to KES 44.79 Bn from KES 40.16 Bn in FY20. This growth was supported by increased data usage as seen by an 8.09% growth in the one-month active users to 23.77 Mn coupled with a 39.80% uptick in the number of 4G users to 8.5 Mn. We also observed that data customers using more than 1GB of mobile data grew 31.1% y/y to 6.1Mn, translating to an ARPU increase of 3.70% to KES 186.28.

  In the last two years, Safaricom has lost some of its data market share to its major competitors; Airtel and Telkom. This is mainly attributed to customers' focus on data affordability.

Graph 3: Telco Industry Top Three Data Market Share



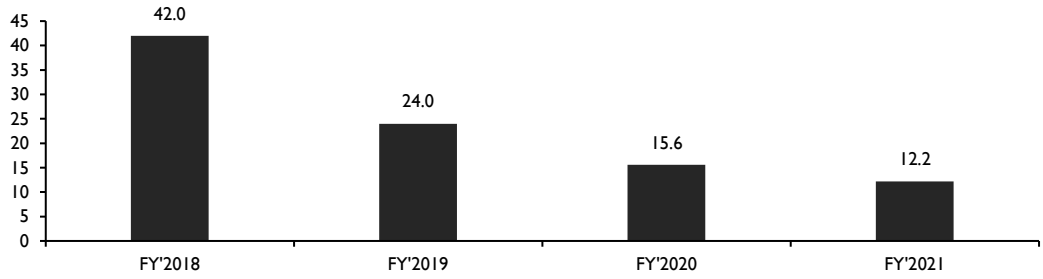
Source: CAK

In a bid to grow mobile data revenue, Safaricom has focused on:

- **Increasing 4G and 5G coverage:** In FY21, 4G base stations increased by 24.1% to 5,387 thereby increasing coverage to 94% which is now almost equal to the 3G coverage (95%). There are plans to roll out 5G connections throughout the Kenyan market as trials have already begun

- **Device financing:** The company has committed to continue offering handsets through the various outlets and through redemption of bonga points. The handset related revenue increased by **17.40%** to **KES 12.32 Bn** in FY21 and is expected to grow further due to risen demand for smart phones.
- **Reducing prices as it seeks to maintain customers:** Safaricom has had to reduce the prices of its data packages as it seeks maintain its customer base. The price per MB has declined from a high of 42.0 cents in FY18 to 12.2 cents in FY21.

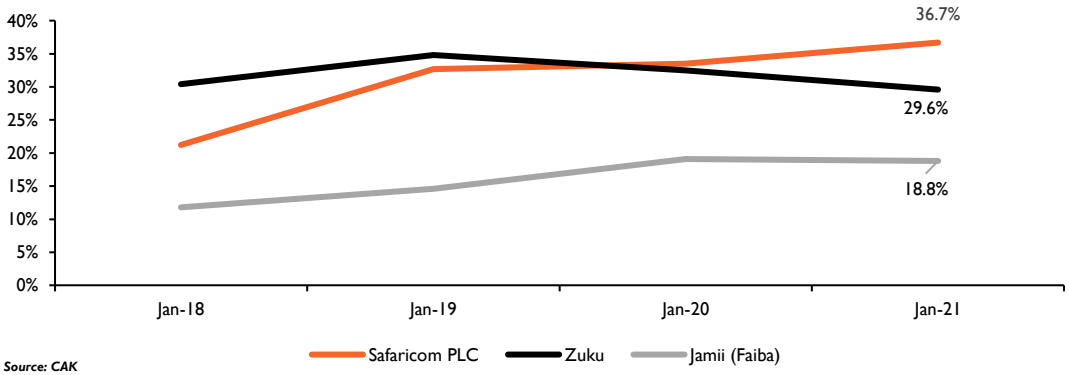
Graph 4: Safaricom Data Rate/MB (Cents)



Source: Company financials

➢ **Safaricom gains market share in the fixed data space:** Safaricom's efforts to increase coverage of its fixed data services has enabled it to gain market share. The telco is now the market leader in the fixed data space.

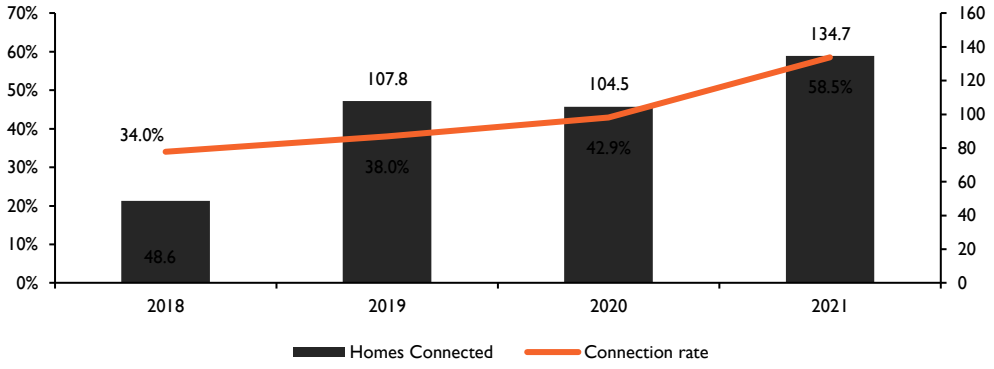
Graph 5: Top Three Telco Market share



Source: CAK

➢ **Fibre To The Home (FTTH) driving growth:** In FY21, the fibre segment revenue grew by 6.0% y/y to KES 9.5Bn, mainly driven by a 49.1% y/y growth in FTTH revenues (while FTTB revenues declined). Working from home policies and online classes drove the uptake of FTTH subscriptions which increased by 31.50% to 134,700 subscribers. The conversion rate also increased to stand at 58.5%.

Graph 6: FTTH Connection Rate



Source: Company financials

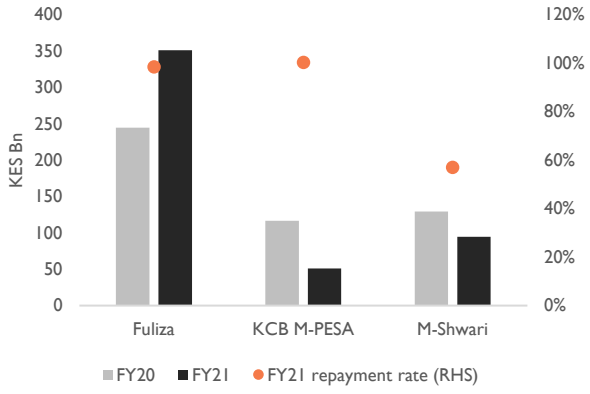
- **Fibre To The Business (FTTB) expected to recover:** In FY21, FTTB revenues declined as the segment was affected by the various lockdown measures that affected business activity during the period. This resulted in a 31.9% decline in ARPU. In FY22, we expect FTTB to rebound driven by an increase in ARPU as workers return to the office.

- **Increased transactions on the M-PESA platform:** In FY21, activity in the M-PESA platform increased as customers took advantage of the zero-rating of fees on P2P, Lipa na M-PESA transactions below KES 1,000 and M-PESA/Bank transactions. The total M-PESA transaction value edged up **58.20%** y/y to **KES 22.04 Tn** with the transaction volumes advancing by **29.80%** y/y to **KES 11.68 Bn**.

- **New business streams key driver of growth:** We expect M-PESA to be the key driver of revenue growth mainly due to the ongoing partnerships with financial services providers as well as e-commerce players. The M-PESA growth is expected to come from:
  - **International money transfer:** The transfer is facilitated by M-PESA Global, a platform where registered M-PESA customers can send and receive money from countries across the world. Safaricom is in partnership with other money remittance platforms such as: Western Union, MoneyGram, Ria, World Remit, Wave, and Remitly. In FY21 the value of transactions increased by **75.8%** to **KES 289.69 Bn**, with the revenue contribution also growing **52.3%** to **KES 2.01 Bn**. M-PESA's global active users are now more than 50 million. Diaspora remittances and the updated M-PESA App are likely to support the growth of this service.
  - **Lending Platforms:** Safaricom is currently in partnerships with various financial institutions through Fuliza, KCB M-PESA and M-shwari, to deliver short term loans to subscribers. The value of loans disbursed by the three platforms in FY'21 increased by **1.22%** to **KES 496.80 Bn** from **KES 490.80 Bn** the prior year.

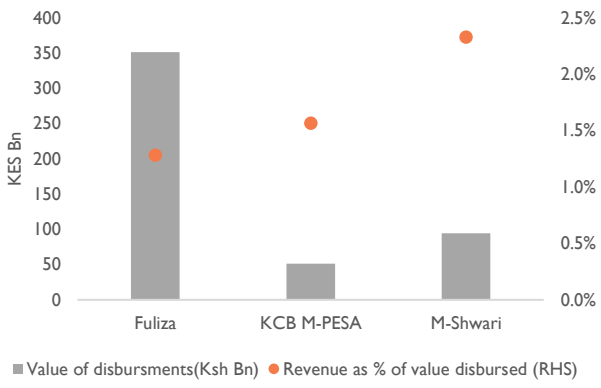
In its second full year of operation, the value of transactions on Fuliza remains the highest among the three lending platforms. Repayment rates are lowest on M-Shwari as the provider has limited access to clients' funds, but the platform seems to be the most profitable, as measured by revenue as a percentage of value disbursed.

Graph 7: Value of Transactions



Source: Company financials

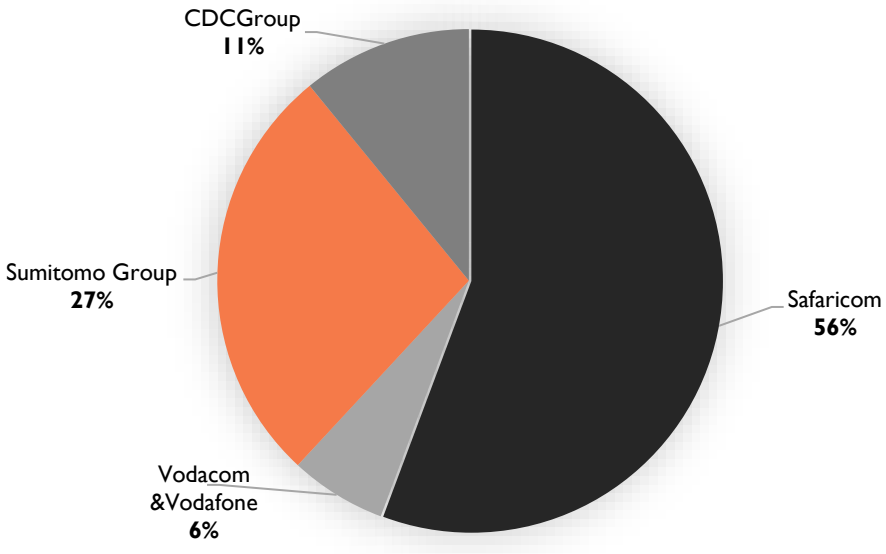
Graph 8: FY 21 Transactions and revenue



THE ETHIOPIAN OPPORTUNITY

- **Safaricom entry into Ethiopia:** In May 2021, an international consortium known as the Global Partnership for Ethiopia was awarded a license for **USD 850.0Mn (KES 93.38 Bn)**, to operate telecommunications services in Ethiopia. The Ethiopia telco license, which will include mobile money services, will be for an initial term of 15 years with the right for an additional 15 years.

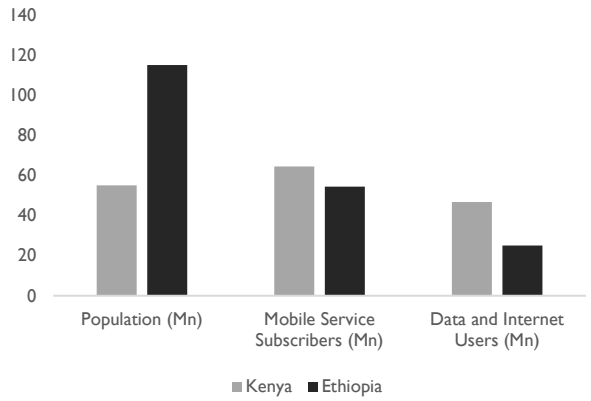
Graph 9: Ownership Structure



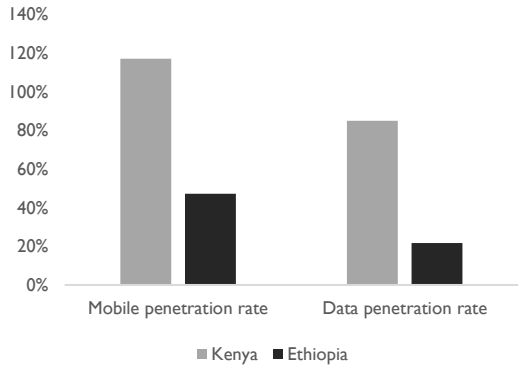
Source: Company announcement

➢ **The low penetration rates in Ethiopia offers an opportunity for growth:** Ethiopia is a large market with relatively low mobile and data penetration rates. Unlike in Kenya, where opportunities for growth are limited due to the high mobile penetration rates (132%), Ethiopia's relatively low mobile penetration rate of 47% offers Safaricom an opportunity to grow its market share by acquiring new subscribers. There is also a huge potential in the data space as there are only 25.0 Mn internet users versus Kenya's 46.7 Mn internet users and an estimated 6.7 Mn social media users versus Kenya's 11.0 Mn users, with most of the users in both countries accessing the internet using mobile data.

Graph 10: The Telco Market



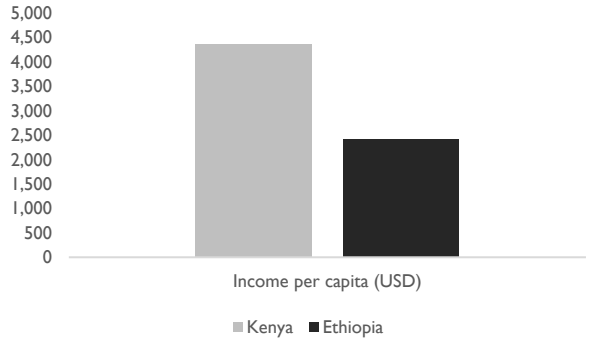
Graph 11: Penetration rates



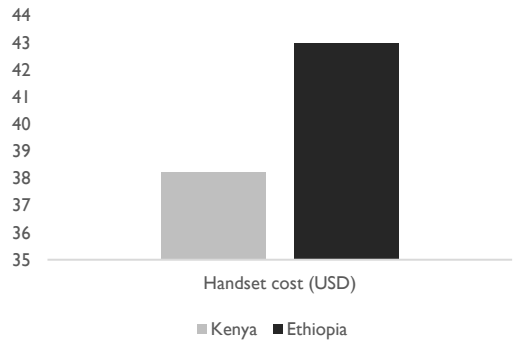
Source: CAK, Ethio Telecom, Company financials

➢ **Affordability of devices is likely to play a key role in increasing penetration rates:** Per capita income in Ethiopia is relatively low thus the subscriber growth could potentially be impacted by the higher average cost of buying a handset at USD 42.98 for Ethiopia, compared to USD 38.24 for Kenya. Safaricom is likely to take advantage of this and offer some of the packages that it has in the Kenyan market. Additionally, we anticipate that Safaricom will initially target urban areas (21.9% urbanization rate versus 28.0% in Kenya) before spreading out to the rural areas where the cost of setting up new infrastructure is likely to be higher.

Graph 12: Income per capita



Graph 13: Handset costs

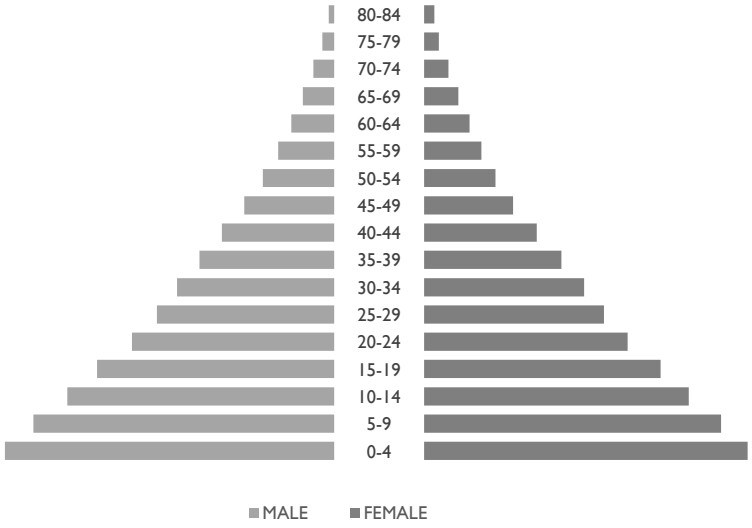


Source: World Bank, GSMA

- **Voice and data to be the key revenue drivers:** During the initial years, voice and data are likely to be the main drivers of Safaricom's revenues in the Ethiopian market. Mobile money's growth is likely to be dependent on Safaricom's ability to grow its mobile subscriber base.

  Subscriber growth is likely to come from both an increase in penetration rates and Ethiopia's youthful population. With more than 49.8% of the country's population under the age of 20, young consumers owning a mobile phone for the first time will remain the primary source of growth for the foreseeable future.

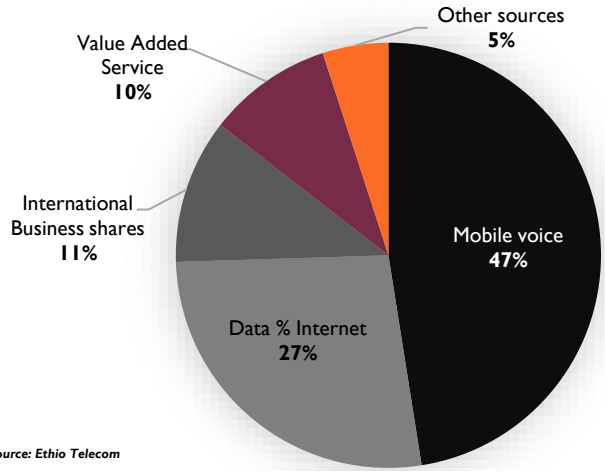
Graph 14: Ethiopia's Population



Source: US Census Bureau

- **Safaricom to challenge the monopoly:** The Ethiopian telecom market is currently a monopoly dominated by the government owned Ethio-Telecom which reported revenues worth **56.5 Bn ETB (KES 133.18 Bn)** in FY'2021 from a customer base of **56.2 Mn**.

Graph 15: Ethio Telecom's revenue split



Source: Ethio Telecom

In order to gain market share, Safaricom would have to offer clients one of the below:

- **Lower prices:** The prices in Ethiopia are relatively low thus price war wouldn't benefit Safaricom. However, offering relatively cheaper data and voice bundles might be the only viable way that Safaricom could attract customers. We expect the initial Safaricom data and voice packages to be offered at a discount to the current Ethio Telecom packages.

  Using the current voice and data bundles as a base, we expect Safaricom's Kenyan voice and data to be more profitable than in Ethiopia. This is based on a comparison of Ethio Telecom and Safaricom Kenyan bundles, weekly and monthly voice and data bundles are cheaper in Ethiopia.

Table 1: Voice packages

	Daily		Weekly		Monthly	
	USD 0.06	USD 0.22	USD 0.32	USD 0.75	USD 0.75	USD 8.18
Ethio Telecom (Mobile Voice Packages)	10 Min	35 Min	60 Min	100 Min	125 Min	2000 Min
Safaricom(Normal voice fee)	10.71 Min	35.7 Min	53.57 Min	124.98 Min	124.98 Min	1356.86 Min

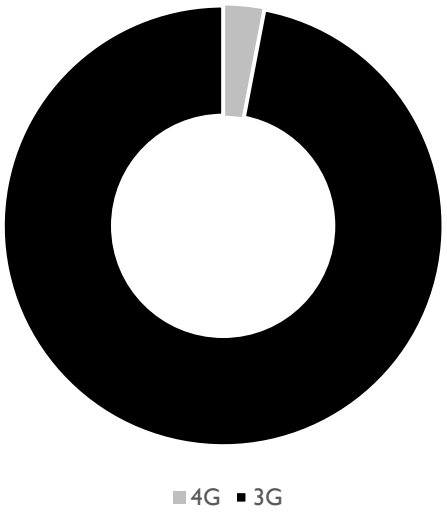
Table 2: Data packages

	Daily		Weekly		Monthly	
	USD 0.06	USD 0.97	USD 0.52	USD 2.58	USD 0.86	USD 19.16
Ethio Telecom(Daily Mobile Voice Packages)	30 Mb	1GB	250 Mb	2GB	500 Mb	20GB
Safaricom(Normal voice fee)	14 Mb	535 Mb	285 Mb	1.43 GB	476 Mb	10.59 GB

Source: Analyst estimates, Ethio Telco, Safaricom

- **Data services:** Increased investment in 4G and 5G could help drive Safaricom's data ARPU growth. As shown in the graph below, 4G coverage in the country remains low.

Graph 16: Ethiopia's 3G and 4G mix



Source: GSMA

- **Focus on service quality:** This might be difficult to achieve in the first few years of entry. However, once Safaricom lays its infrastructure, this is likely to be a key area of attraction for its clients.
- **Superior customer service:** This could help the company attract premium customers. This is not a strategy that it employs in Kenya, but it could be used in Ethiopia when the customer base is relatively small.
- **Wide coverage:** Safaricom would have to invest a lot in Ethiopia in order to increase its network coverage.
- **Added services:** We expect Safaricom to offer clients additional services such as cheap/financing for smart phone devices. Eventually, we believe that the Telco's mobile money service is likely to be better that Ethio Telecom's. This is likely to help the company grow market share.

  For Safaricom to wrestle a significant market share from the incumbent, we anticipate high early marketing and promotional costs. ARPU is likely to be relatively low in the initial years but should increase as the number of products offered increases.

➢ **Mobile money offers an opportunity for growth:** Ethio Telecom launched it mobile money service, Telebirr, in May 2021. The service registered 4Mn subscribers in the first month and added an additional 2.58Mn in the second month. Within the two months, the platform recorded total transaction worth ETB 357Mn. To ensure service coverage, the company has so far engaged more than 21,000 agents and merchants.

The impressive subscription numbers in the mobile money platform provide Ethio telecom with a significant head start over the other new entrants. However, we expect Safaricom to leverage on the years of experience successfully operating M-PESA. We believe that success of the mobile money business is likely to come from:

- **Quality of service:** Given Safraicom's experience with M-PESA, it is likely to ensure service reliability through lower system downtimes, pricing transparency and agent expertise.
- **User acceptance:** Mobile money is likely to be accepted and widely used as the country has low financial inclusion and a high unbanked population (75% of Ethiopia's population). Tailored services for businesses including SME's will allow for a smooth acceptance by merchants conducting B2C and B2B services.
- **Wide coverage:** Safaricom's will need to invest a lot on infrastructure in order increase its coverage. It will also need to invest in its agency network.
- **Security and reliability:** Security and reliability are likely to be customers main considerations when choosing a mobile money operator. A good track record will be beneficial in the acceptance of the services .

- **Key Risks:** We see the following potential future risks, in relation to the entry into Ethiopian market.

  - **Competition:** The licensing of a third operator and the sale of a 40.0% stake by Ethio Telecom will provide strong competition to the growth prospects of Safaricom.
  - **Geo - Political Risks:** The ongoing Tigray region conflict will slow down the expansion of Safaricom into a populous region, more so if the conflict was to spread to more regions. Furthermore, the history of media and teleco shutdowns by the government may cause fear of business interruptions.
  - **Regulatory Risks:** In preparation of the Telecom sector liberalization the ECA recently issued guidelines that will touch on sim card registration, lawful tariffs, infrastructure sharing and collocation. We are, however, concerned about the enforcement of these guidelines, as they may be used against Ethio Telecom competitors.

1H22 EARNINGS EXPECTATION

Safaricom is expected to release its 1H22 financial results on Wednesday 10th November 2021. We expect a 26% y/y growth in service revenue to **KES 156Bn** driven by recovery in M-Pesa and Data revenues. The bottom-line is also likely to be supported by increased efficiency.

- **Strong M-PESA growth:** Mobile money will remain the company's main area of growth. The continued partnerships with other financial services and e-commerce players has been centered around M-PESA, positively impacting the growth in payments revenue. The higher P2P fees is also likely to drive transaction revenue growth. We expect M-PESA revenue to recover from disruptions caused by the pandemic. The strong growth will be mainly on the back of P2P and lending revenue even as transactions between banks and M-pesa continue to be zero rated.
- **Voice and SMS revenue to remain under pressure:** Voice revenue has been declining as subscribers opt for Over-the-top (OTT) media services. The continued cannibalization of SMS services by alternative messaging platforms will is expected to have continued in 1H22 and will see SMS revenues declining further.

- **Improved data growth:** We forecast a 39.13% y/y growth in data revenue. The strong growth will be driven by customer usage of mobile data as the growth of a digital economy takes shape. The continued roll out of 4G has improved data usage for users consuming more than 1 GB of data.

- **Strong fixed data revenue growth:** The shift to working and schooling from home has been a key contributor to the uptake and growth of the fixed data segment. Consequently, investment in this space has helped Safaricom gain market share in this segment. We expect Fixed data revenue to grow by 33% y/y driven by an increase in both the number of subscribers and ARPU.

VALUATION SUMMARY

We issue a **SELL** recommendation on Safaricom PLC at a target price of **KES 38.81** representing a downside of **7.60%** on the current price of **KES 42.00**. The fair value estimate is based on the Discounted Cash Flow valuation model and valuation multiple methods. The risk-free rate is pegged on the 10-yr government Bond rate

Table 3: Cost of Equity Assumptions

Cost of Equity Assumptions	
Risk Free Rate	12.3%
Country risk premium	5.0%
Company Beta	1.00
Cost of equity	17.3%
After tax cost of debt	12.0%
WACC	17.2%

Table 4: DCF Assumptions

DCF Assumptions	FY2022f	FY2023f	FY2024f	FY2025f	FY2026f
EBIT	134,227	157,892	188,418	227,771	282,655
After Tax EBIT	98,448	115,805	138,194	167,057	207,311
Capex	43,848	49,204	55,706	59,110	68,864
Depreciation & Amortization	40,149	44,919	50,643	57,620	66,529
Changes in WC	7,577	1,921	2,547	3,394	4,541
	11,276	6,206	7,610	4,883	6,876
Net cash	87,172	109,598	130,584	162,173	200,435
Terminal value					1,891,363
Discount rate	0.80	0.68	0.58	0.49	0.49
Discounted cashflow	69,472	74,473	75,689	80,182	1,034,226
Discounted Terminal Value	1,034,226				
Net Debt	11,964				
Value of Equity	1,334,624				
Number of Issued Shares	40,065				
Fair Value (KES)	**33.61**				

Table 5: Methodology weightings

Methodology	FV Estimates	Weighting	Weighted Value
FCFF Approach	33.60	80%	26.88
P/B valuation approach	73.03	10%	7.30
PE valuation approach	46.30	10%	4.63
Fair Value			**38.81**
Current Price			42.00
Upside/(Downside)			**(7.60%)**
Dividend Yield			9.65%
Total Return			2.05%

Source: AIB-AXYS Analyst Estimates, Bloomberg, SCOM Annual Report

Table 6: Statement of Financial Position

ASSETS	FY'2020	FY'2021	FY2022f	FY2023f	FY2024f	FY2025f	FY2026f
Non-Current Assets	164,403	174,720	193,735	216,168	243,489	276,894	321,030
Cash and cash equivalents	26,760	26,736	22,330	22,933	22,837	22,024	17,951
Current Assets	22,063	29,173	38,994	43,958	50,129	57,855	68,104
TOTAL ASSETS	**213,225**	**230,629**	**255,060**	**283,059**	**316,454**	**356,773**	**407,084**
Total equity	143,080	137,635	157,744	181,550	210,105	244,762	287,909
Non-current liabilities	13,644	17,542	17,542	17,542	17,542	17,542	17,542
Current Liabilities	56,501	75,452	79,774	83,967	88,808	94,469	101,633
Total Equity & Liabilities	**213,225**	**230,629**	**255,060**	**283,059**	**316,454**	**356,773**	**407,084**

Table 7: Income Statement

	FY'2020	FY'2021	FY'2022f	FY'2023f	FY'2024f	FY'2025f	FY'2026f
Revenue							
Voice revenue	86,530	82,552	86,600	89,045	87,947	88,666	89,349
SMS revenue	15,404	13,602	12,278	11,083	10,004	9,030	8,151
Data revenue	40,158	44,793	61,865	67,328	76,850	85,041	98,675
Fixed service	8,967	9,507	12,094	18,191	27,057	39,984	58,893
Other revenue	27,060	30,924	33,707	36,741	40,048	43,652	47,581
M-PESA revenue	84,438	82,647	106,656	129,070	155,997	188,316	227,073
Total Revenue	**262,556**	**264,027**	**313,202**	**351,457**	**397,902**	**454,690**	**529,721**
Direct Costs	75,285	80,853	87,696	96,651	107,434	120,493	137,728
EBITDA	**138,042**	**134,129**	**174,376**	**202,811**	**239,061**	**285,391**	**349,183**
PBT	**105,773**	**93,636**	**130,558**	**154,562**	**185,390**	**225,014**	**280,138**
Taxation	32,115	24,959	34,801	41,200	49,417	59,979	74,673
PAT	**73,658**	**68,676**	**95,756**	**113,362**	**135,973**	**165,034**	**205,465**
EPS	1.84	1.71	2.39	2.83	3.39	4.12	5.13

Source: AIB-AXYS Analyst Estimates, Company financials



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- **BUY:** Issued on counters with strong fundamentals whose upside lies above 15.0%.
- **HOLD:** Issued on counters with an upside of between 5% and 14.9% with limited avenues for growth.
- **SELL:** The counter currently has weak fundamentals coupled with potential downside

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